



The Financial Impact of Sustainability Commitments

By: Sara Stewart

Introduction

- What I'm Asking:

Do sustainability commitments impact financial performance or consumer interest?

- Why It Matters:

Fashion brands face pressure for transparency — but do commitments actually accomplish anything measurable?

Sustainability Commitments

What are “sustainability commitments”?

- H&M – “Conscious Collection”
- Burberry – “ReBurberry Edit”
- Adidas – Launched FUTURECRAFT.LOOP
- Lululemon – “Earth Dye Collection”
- Columbia – “OutDry Collection”

Literature Review

What Research Shows:

- Sustainability *might* improve brand reputation
- Financial effects are inconsistent
- Online visibility effects are understudied

Key Gaps:

- Few causal studies in fashion
- Almost no use of Google Trends
- Rarely compare treated vs matched control brands

Data Collection

Data Sources:

- Revenue & stock data: corporate filings + Yahoo Finance
- Consumer interest: Google Trends
- Sustainability data: FTI reports + Good On You

Sample:

5 treated brands matched with 5 controls
6-year window (–3 to +3 relative to commitment)

Comparison Brands

Adidas → Under Armour

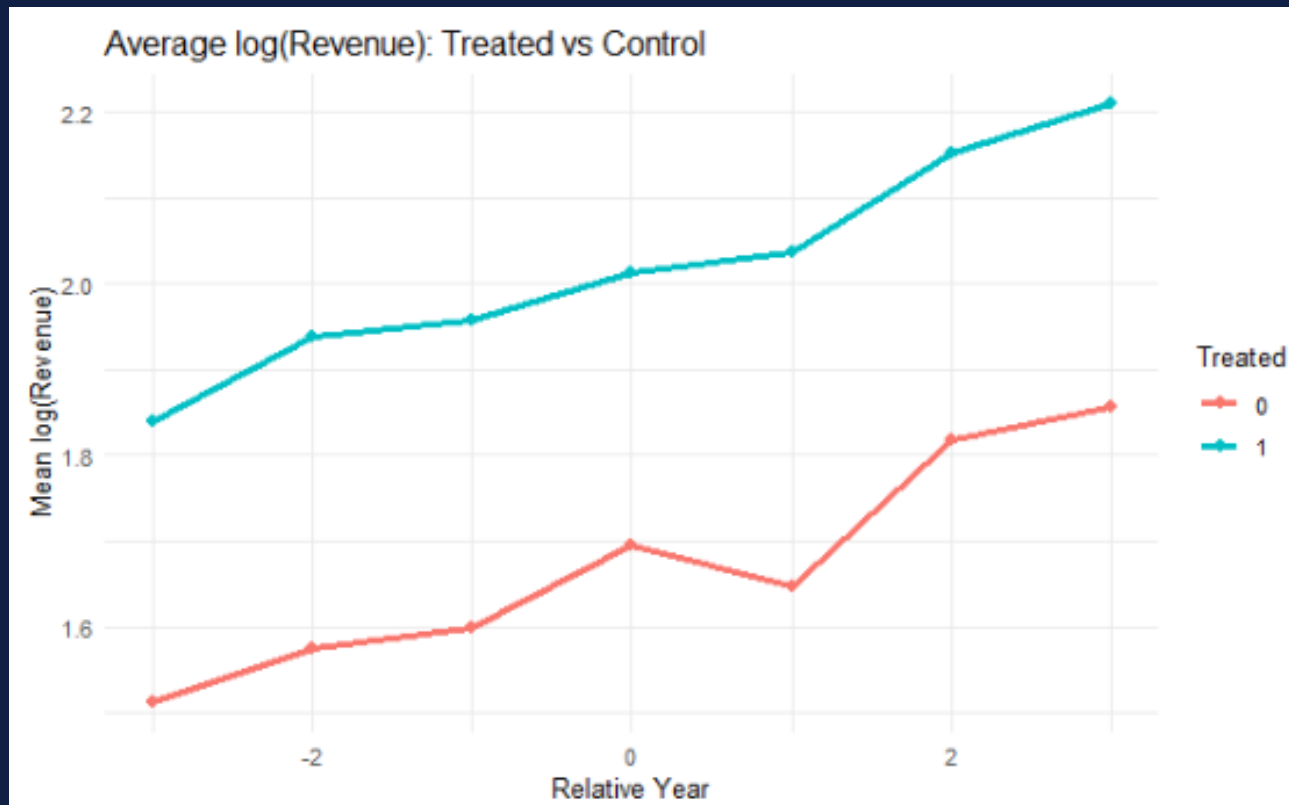
Burberry → Ralph Lauren

H&M → Next plc

Lululemon → Nike

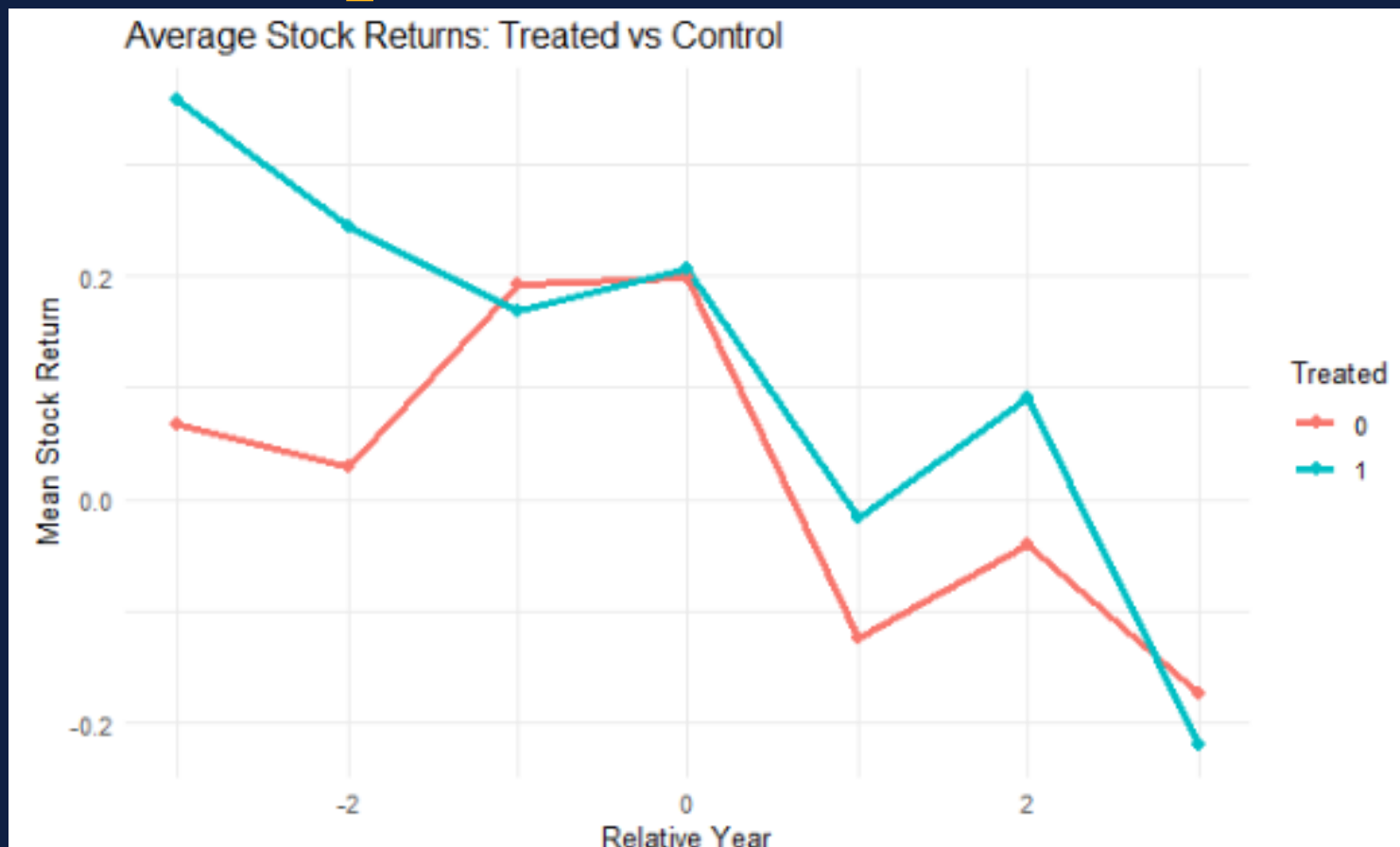
Columbia → Canada Goose

Descriptive Statistics - Revenue



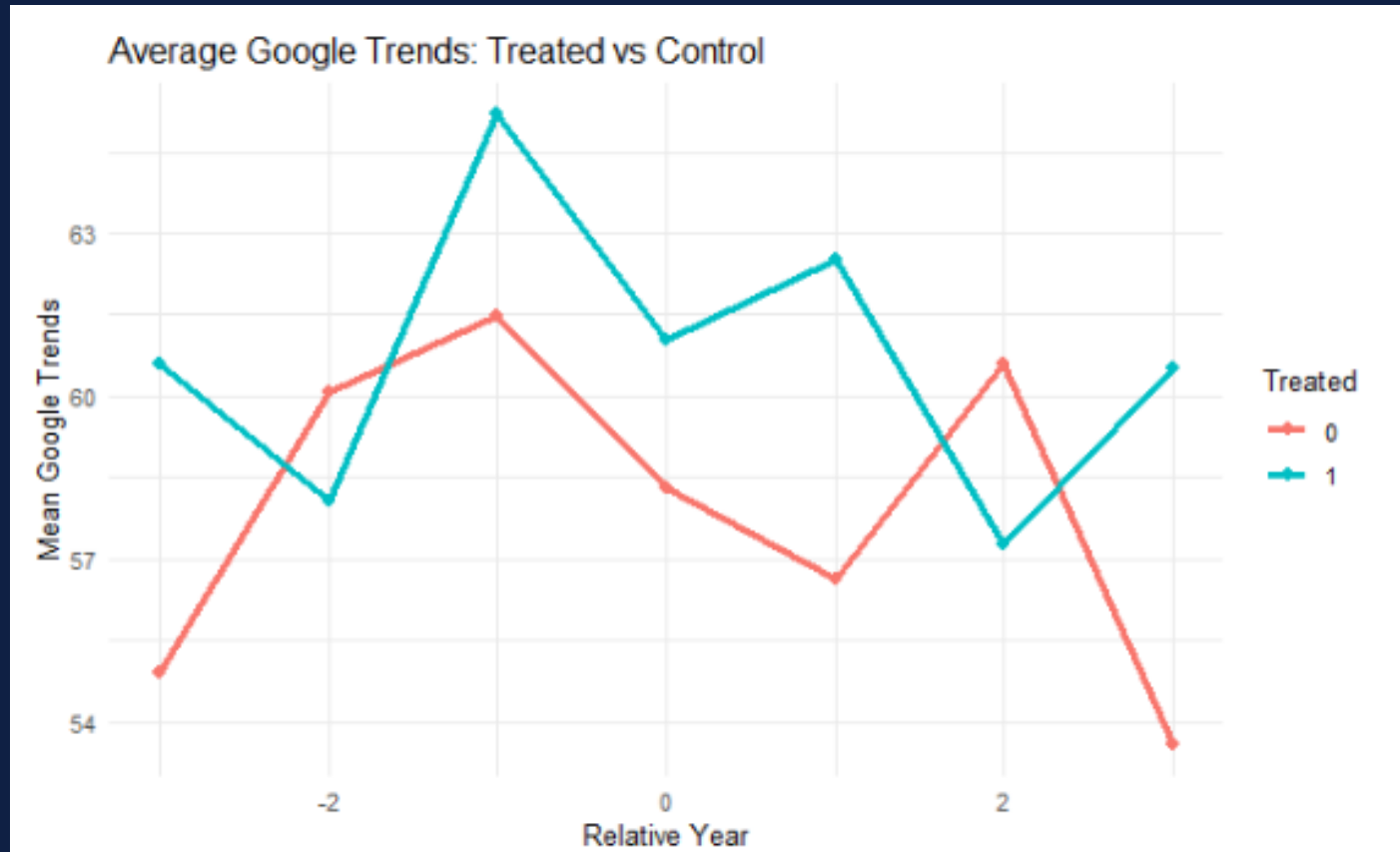
- Treated brands start higher
- Both groups grow over time
- Treated show a dip at Year 0

Descriptive Statistics - Stock



- Large pre-treatment volatility
- Drop appears in both groups

Descriptive Statistics – G Trends



- Similar patterns
- Treated brands slightly higher
- No consistent rise after commitments

Methods

- Brand Matching to Comparable Control (PSM)
- Check pre-treatment similarity (t test)
- Estimate causal effects (DiD)
- Track year-by-year impacts (Event Study)

Results

Matched-Pair Differences:

- Revenue: $\beta = -1.035$, $p = .69$
- Stock: $\beta = 0.097$, $p = .12$
- Google Trends: $\beta = 2.798$, $p = .16$

Difference-in-Differences:

- Revenue: $\beta = .096$, $p = .64$
- Stock: $\beta = -.23$, $p = .77$
- Google Trends: $\beta = .59$, $p = .88$

Event-Study Interpretation

Revenue

Relative Year	Estimate	P - value
- 3	- 0.1866	0.2155
- 2	- 0.1938 (17.62%)	0.0313 *
0	- 0.0775	0.5372
1	- 0.2116 (19.07%)	0.0461 *
2	0.5758 (77.86%)	< 0.0001 ***

Event-Study Interpretation

Stock

Relative Year	Estimate	P - value
- 3	0.3430	0.3097
- 2	- 0.8900	0.1777
0	- 0.1692	0.7883
1	- 1.2231	0.1241
2	- 1.4566 (76.70%)	0.0061 **

Event-Study Interpretation

Google Trends

Relative Year	Estimate	P - value
- 3	- 2.4420	0.4556
- 2	- 4.2330	0.1222
0	- 3.9176	0.2493
1	- 2.9795	0.2659
2	- 4.8782	0.98472

Conclusion

Conclusion:

- No short-term effects
- Medium-term effects inconsistent
- Search interest unaffected

Future Work:

- Larger brand samples
- Specific consumer interest measures
- Examine types of sustainability initiatives

Special Thanks

Dr Haimeng Zhang

UNC at Greensboro

Faculty and Staff in the Math Department